Manual Identification of Malaysia's Statutory CIT-Rate Shocks

AI-assisted narrative pass over the C1 / C0 deployment evidence

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1 Purpose

This note documents a focused, **AI-assisted manual identification** of Malaysia's *statutory corporate-income-tax (CIT) rate changes*, run directly over the evidence our deployment pipeline already surfaced. It is the "Malaysia CIT seed" called for in the feasibility note's proposed sequencing, and it deliberately follows the spirit of the narrative-identification literature (Romer and Romer 2010): close reading of source documents, with the LLM pipeline as a retrieval-and-extraction aide, not as the adjudicator.

The method mirrors our `/manual-analysis` protocol. The pipeline (C1 measure identification, C0 act aggregation) pre-screens candidate measures; a human reads the surfaced evidence and makes the final call on *what counts as an event*, *how scattered surface forms consolidate*, and *whether each cut is exogenous*. Claude pattern-matches against the source text; the researcher confers meaning.

We do **not** drive identification from C0. As Section 2 shows, C0 fragmented the CIT measures badly, so it cannot serve as the event layer here. We retrieve from the full C1 pool (1036 measures, pre-relevance-cut) and consolidate by hand.

> ! Important
>
> The exogenous/endogenous column in Table 3 is a **preliminary suggestion with its supporting quote, pending expert adjudication**. It is not a research finding. The whole point of this pass is that a human adjudicates these calls; see the open questions in Section 6.

2 What C1 surfaced, and what it missed

A keyword scan of the full C1 pool returns **29 distinct CIT measures** spanning 1981–2019, in both English and Malay, each carrying explicit from-and-to rates. A broader semantic sweep over all 1036 measures (reading every tax-related surface form, not just keyword hits) confirmed the headline path is present from 34% down to 25%, and surfaced the separate SME, petroleum, and sectoral-incentive tracks.

The sweep also found two **genuine recall misses**: headline events that sit in the corpus with explicit rates but that C1 did not surface as measures. Both were recovered by reading the source text directly.

Table 1: **Recall scorecard**. How each headline event fared through C1 measure identification and C0 act aggregation. 'Recovered manually' marks events present in the corpus that C1 did not surface as a measure.

Stage	Outcome
Keyword scan (C1 pool, n=1,036)	29 keyword hits over CIT regex; 2 false positives excluded (Malaysia Deposit Insurance Corporation Act 2005 x2).
Semantic sweep (all surface forms)	Confirmed headline path 34->24 plus separate SME / petroleum / sectoral-incentive tracks (tracked separately, not headline rows).
C1 measure identification	Surfaced the 34->25 path (steps H1-H6) and the single-tier reform; MISSED the 2016 cut (25->24) and the 2022 Cukai Makmur surcharge.
Recall miss - 2016 cut (25->24, YA2016)	Recovered from Budget Speech 2015 ch5 (BM: 'daripada 25 peratus kepada 24 peratus') and Economic Report 2016 ch13 ('Corporate income tax rate reduced from 25% to 24%').
Recall miss - 2022 Cukai Makmur (YA2022)	Recovered from Budget Speech 2022 ch18 ('one-off special tax known as Cukai Makmur ... companies other than MSMEs ... above RM100 million ... 33% tax rate') and Economic Report 2023 ch7-8 ('Prosperity Tax amounting to RM7 billion ... for assessment year 2022').
C0 act aggregation	Fragmented the CIT measures (near-all singletons; phased cut split across 10 clusters; EN/BM never bridged). NOT used as the event layer.

The retrieval lesson is the one anticipated in the feasibility note: a CIT cut is maximally relevant *because it is a rate change*, however briefly the documents discuss it, so an instrument-targeted recall pass (plus human reading) is needed rather than a discussion-volume filter or trust in C0′s clustering.

3 The headline statutory CIT rate

Reading the consolidated evidence yields a clean headline path: **34 → 32 → 30 → 28 → 27 → 26 → 25 → 24**, a structural single-tier reform in 2008, and a one-off windfall surcharge in 2022. Table 2 gives the identified events; Figure 1 traces the rate.

Table 2: **Headline CIT-rate events**. Identified statutory general corporate-income-tax rate changes, with the budget that announced each and the year of assessment it took effect. Effective years for the early-1990s steps are approximate, bracketed by the 'from 34 per cent in 1991 to 30 per cent in 1995' summary in the Seventh Malaysia Plan.

Event	From⟶To	Δpp	Effective (YA)	Announced	Source surface form / doc
H1	34% ⟶ 32%	−2	1994	early-1990s Budget	ECON Report 1995 (BM)
H2	32% ⟶ 30%	−2	1995/96	mid-1990s Budget	ECON Report 1995/96; RMK-7
H3	30% ⟶ 28%	−2	1998	1998 Budget (Oct 1997)	BNM AR 1997
H4	28% ⟶ 27%	−1	2007	2007 Budget (Sep 2006)	RMK-9 MTR; BNM AR 2006
H5	27% ⟶ 26%	−1	2008	2007 Budget	ECON Report 2008 (BM)
H6	26% ⟶ 25%	−1	2009	2008 Budget (Sep 2007)	BNM AR 2007; ECON Report 2010
H7	25% ⟶ 24%	−1	2016	2015 Budget (Oct 2014)	Budget Speech 2015; ECON Report 2016
H*	single-tier system	structural	2008 (phased)	2008 Budget	Budget Speech 2008
H8	Cukai Makmur	+9 (one-off)	2022	2022 Budget	Budget Speech

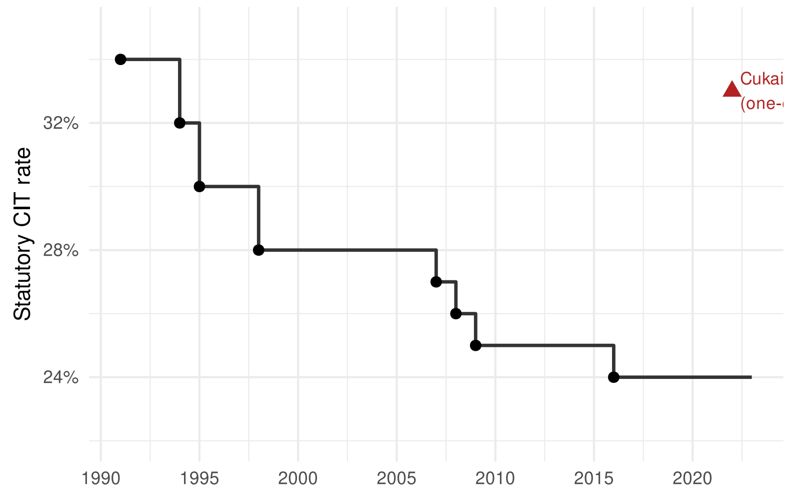

Figure 1: **Headline statutory CIT rate, Malaysia 1991–2023**. Step path of the general corporate-income-tax rate from the identified events. The 2022 Cukai Makmur surcharge (one-off, on chargeable income above RM100m) is marked separately and is not part of the standing-rate path.

4 Motivation evidence and preliminary exogeneity

For each headline event, the corpus carries motivation language. Table 3 pairs each event with the most diagnostic quote and a **preliminary** exogenous/endogenous read. The central methodological observation: the **2007–2009 phased cut carries both framings** in the same corpus, which is exactly why the classification is consequential rather than mechanical.

Table 3: **Motivation evidence, pending adjudication**. The stated rationale for each headline event and a preliminary exogenous/endogenous read. These are suggestions anchored in the quoted text, not settled classifications; the exogeneity calls are the object of expert adjudication (see Section 6).

Event	Motivation quote (source text)	Preliminary read	Adjudication
H3	"reduce the cost of doing business and strengthen competitiveness … reduced to 28% in 1998 compared with 30% each for Indonesia and Thailand"	Exogenous (competitiveness)	PENDING
H4	"complaints that the national corporate tax rate of 28 per cent is high compared with other countries" (2003 ctx)	Exogenous (competitiveness)	PENDING
H5	phased competitiveness reduction (same act path as H4/H6)	Exogenous (competitiveness)?	PENDING
H6	"the phased reduction in corporate income tax to 26% in 2008 and 25% in 2009 is expected to provide stimulus for private sector capital spending"	Endogenous (stimulus framing)?	PENDING
H7	announced within the GST-introduction offset package (Budget 2015)	Exogenous (structural/GST offset)?	PENDING
H8	"one-off special windfall tax to companies that generate high income" (post-pandemic revenue measure)	Endogenous? (one-off windfall)	PENDING

5 Other corporate-rate tracks

Per the agreed scope, all corporate-rate instruments are tracked, marked separately, with the headline rate as the priority. Table 4 lists the non-headline tracks for completeness; these are candidates for the same adjudication once the headline series is settled.

Table 4: **Non-headline corporate-rate tracks**. SME schedule, petroleum income tax, and sectoral/special-rate regimes surfaced by C1 and the recall sweep.

Track	Identified events	Note
SME schedule	28%⟶20% (2003 Budget, first RM100k); threshold RM100k⟶500k (2004); 20%⟶19% (2016); 19%⟶18% (2017); 18%⟶17% (2019/2020)	Distinct small-company rate; tracks but lags the headline
Petroleum income tax	40%⟶38% (1998 Budget, bundled with H3); PITA self-assessment change (2011)	2011 change is administrative, not a rate shock
Sectoral / special-rate	DEB equity-restructuring 5pp exemption (1981); Labuan offshore 3% / RM20k regime; biomass companies (2001); Principal Hub 10% (2019); pharma/vaccine 0–10% (2021); manufacturing-relocation 15% (2023)	Incentive/concessionary regimes, not the standing statutory rate

6 Open adjudication questions

Three calls are genuinely the researcher's to make; they are flagged here and were adjudicated at the `/identify-cit` stamp (the frozen dataset in Section 7 encodes the decisions).

Resolved at freeze (2026-06-25)

1. **Consolidation grain.** The 2007–2009 phased cut (28⟶27⟶26⟶25) is frozen as **three annual-effective rows** (`MY-CIT-04/05/06`) for the local-projection design; the early-1990s reduction (34⟶32⟶30) is frozen as **two rows** (`MY-CIT-01/02`), treating each step as its own budget announcement. No row carries a `phased_schedule`.
2. **Exogeneity on the 2007–2009 steps.** Frozen as **ambiguous**, with the competitiveness quote on `MY-CIT-04` and the stimulus quote on `MY-CIT-06`, preserving the dual framing as the object of expert adjudication. These preliminary reads are carried *alongside* — never replacing — C2b's downstream label.
3. **Scope of the single-tier reform and Cukai Makmur.** Both **kept in scope**: the 2008 single-tier reform as a `Neutral` structural row (`MY-CIT-07`, rate fields `NA`) and the 2022 Cukai Makmur as a one-off `Hike` (`MY-CIT-09`, flagged in `magnitude_note`).

The narrative below is retained as the reasoning record behind these calls.

1. Consolidation of the 2007–2009 phased cut (H4–H6)

Is the 28⟶27⟶26⟶25 reduction *one* narratively-announced phased act (Budget 2007 legislated the first steps; Budget 2008 added the 2009 step), dated at announcement with a known path? Or *three* annual-effective shocks for the local-projection design? The narrative tradition leans to one act; the estimation may want annual rows. The same question applies, more weakly, to the early-1990s 34⟶32⟶30 steps.

2. Exogenous vs endogenous on H4–H6

The identical phased cut is framed in the corpus as **competitiveness** ("28% is high vs other countries") *and* as **stimulus** ("provide stimulus for private sector capital spending"). This is the project's central identifying separation, and it is genuinely ambiguous here. Adjudicating it is the methodologically interesting contribution, not overhead.

i 3. Scope calls on H7, H8, and the single-tier reform

Is the 2016 cut exogenous because it offsets the GST introduction (a structural reform), or does the deficit-financing context pull it toward consolidation-driven (still exogenous, different reason)? Is the 2022 Cukai Makmur in scope at all as a statutory-rate shock, given it is a one-off surcharge on a subset of firms? And does the 2008 single-tier reform belong in a rate-shock series, given it changes the dividend-imputation system rather than the headline rate?

7 Structured frozen dataset

The narrative identification above is the human-curated content; the machine-readable form is frozen by the `/identify-cit` skill to `data/validated/MY_CIT_shocks.qs`, following the shared contract in `docs/phase_1/tax_shock_schema.md` (one row per announced act × tax type, with a `member_chunks` manifest linking each shock to its corpus chunks and a mandatory recall scorecard). That frozen file — not this notebook's tribbles — is the reference input the deployment pipeline binds and feeds to C2a/C2b for motivation and exogeneity (`tar_read(tax_shocks)`).

Section 2 above is the recall scorecard for this pass. The frozen dataset and its per-shock member-chunk manifest render below once the skill has produced it.

Table 5: **Frozen CIT shock dataset**. Structured statutory CIT events as stamped by the `/identify-cit` skill (selected columns). The preliminary exogeneity read is pending expert adjudication and is carried alongside — never replaced by — C2b's downstream label.

shock_id	act_label	direction	rate_from	rate_to	Δpp	Effective	Preliminary exo.
MY-CIT-01	Corporate income tax rate reduction 34% to 32% (early-1990s Budget)	Cut	34	32	−2	1994	ambiguous
MY-CIT-02	Corporate income tax rate reduction 32% to 30% (mid-1990s Budget)	Cut	32	30	−2	1995	ambiguous
MY-CIT-03	Corporate income tax rate reduc-	Cut	30	28	−2	1998	TRUE
MY-CIT-0[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	20[illegible]	[illegible]

Table 6: **Member-chunk manifest**. Number of corpus chunks attributed to each shock, and how many were recovered (present in the corpus but not surfaced by C1). The recovered chunks drive the downstream C2a re-run.

shock_id	act_label	Member chunks	Recovered chunks
MY-CIT-01	Corporate income tax rate reduction 34% to 32% (early-1990s Budget)	2	0
MY-CIT-02	Corporate income tax rate reduction 32% to 30% (mid-1990s Budget)	3	0
MY-CIT-03	Corporate income tax rate reduction 30% to 28% (Budget 1998)	1	0
MY-CIT-04	Corporate income tax rate reduction 28% to 27% (Budget 2007)	7	0
MY-CIT-05	Corporate income tax rate reduction 27% to 26% (Budget 2007)	7	0
MY-CIT-06	Corporate income tax rate reduction 26% to 25% (Budget 2008)	4	0
MY-CIT-07	Single-tier corporate tax system (Budget 2008)	1	0
MY-CIT-08	Corporate income tax rate reduction 25% to 24% (Budget	2	2
MY-CIT-09	Cukai Makmur one-off	4	4

References

Romer, Christina D., and David H. Romer. 2010. "The Macroeconomic Effects of Tax Changes: Estimates Based on a New Measure of Fiscal Shocks." *American Economic Review* 100 (3): 763–801.